

Phelps found in his study covering a different time period). This would be the main population of stocks I poked and prodded in the six months after we created the database.

I want to say a few words about what I set out to do — and what I don't want to do.

There are severe limitations or problems with a study like this. For one thing, I'm only looking at these extreme successes. There is hindsight bias, in that things can look obvious now. And there is survivorship bias, in that other companies may have looked similar at one point but failed to deliver a hundredfold gain. I am aware of these issues and others. They are hard to correct.

I had a statistician, a newsletter reader, kindly offer to help. I shared the 100-bagger data with him. He was aghast. He related his concerns using a little story. As he wrote to me, Let's say I am curious to find out what it is that makes basketball players so tall. So I take DNA and blood samples from the starting lineups of the NBA teams. There's something huge missing here, which is — all of the non-tall people!

And this is, of course, true — to an extent. I'm only looking at 100-baggers, not stocks that didn't make it. However, what I'll present in this book is not a set of statistical inferences, but a set of principles you can use to identify winners. If you've read Michael Lewis's *Moneyball*, which looks at the principles behind productive baseball players, you know this is a worthwhile exercise.

These principles I will share with you are undeniably true as points of logic, and you cannot get a 100-bagger without them. This will be clear to you by the end of the book.

We just have to be careful about what lessons we draw from any statistical analysis. So instead I have made a study more in the spirit of Phelps's original work. His work was more anecdotal than statistical. He relied heavily on common sense and basic truths. (This reminds me of *The Outsiders*, by William Thorndike, another important book, which we'll get to later.)

This study is useful in many ways, as I'll argue. But it is not meant as a scientific or statistical study. Investing is, arguably, more art than science, anyway. If investing well were all about statistics, then the best investors would be statisticians. And that is not the case.

We're looking for insights and wisdom, not hard laws and proofs.